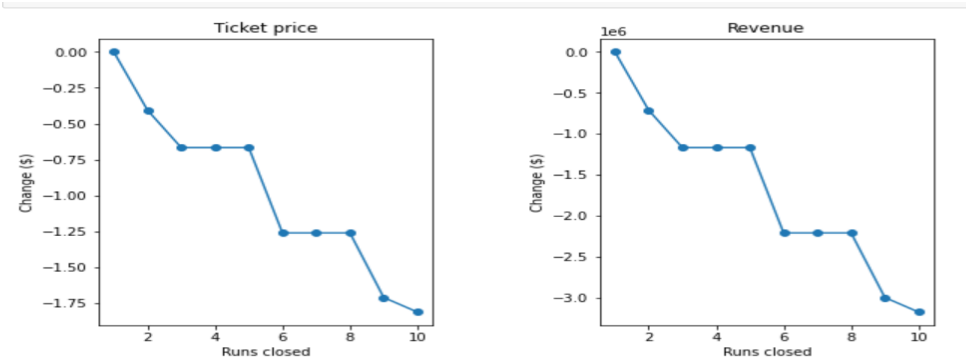
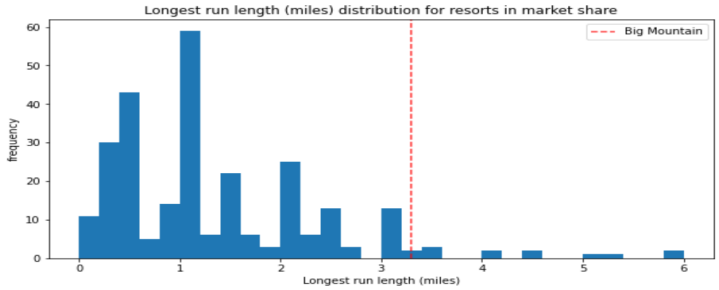
Guided Capstone Project Report

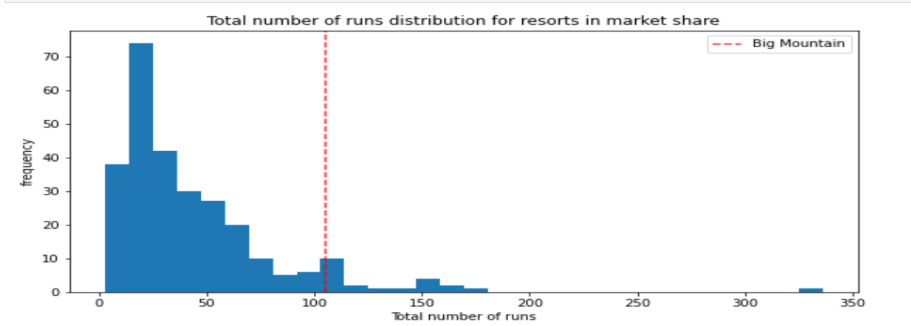
- Big Mountain Resort modeled price is $95.87, actual price is $81.00. Even with the expected mean absolute error of $10.39, this suggests there is room for an increase. I would approach suggesting such a change to business leadership because the fact that our resort seems to be charging that much less than what's predicted suggests our resort might be undercharging. I suggest Big Mountain to go with a modified scenario 1 and scenario 2. For scenario 1, I suggest closing down 1 Permanently closing down 1 of the least used runs since it makes no impact on revenue and ticket price.



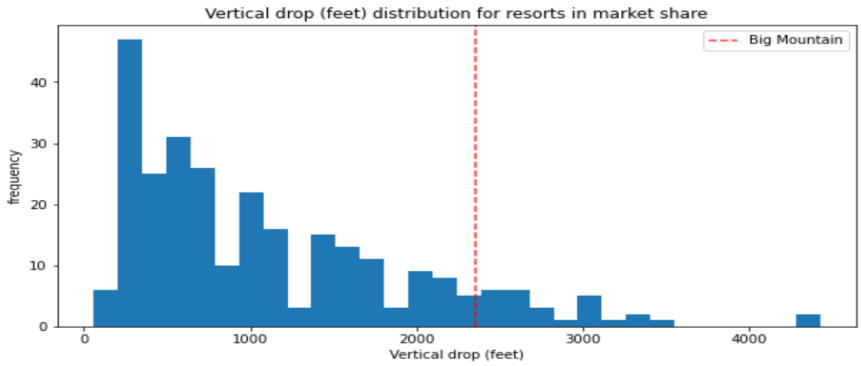
- For scenario 2, by adding a run and installing an additional chair lift will increase the vertical drop by 150 feet. This scenario increases support for ticket price by $1.99. Over the season, this could be expected to amount to $3474638. The cost of an additional chair increase will be $1,540,000. Therefore, the resort is making a net profit of around $2000000. Big Mountain has one of the highest snow coverage and vertical drop, longest run, and total number of runs. With these suggested business changes, I recommend charging $91.



Big Mountain has one of the longest runs. Although it is just over half the length of the longest, the longer ones are rare.



Big Mountain compares well for the number of runs. There are some resorts with more, but not many.



- Other information that would be useful is how much Big Mountain is charging for the hotel stays and possible inflation costs. The modeled price is higher than its current price because the price adjustment is based on other ski resorts, and if we have accurately acquired an up to date pricing because some ski resorts might also over price their ticket prices as well. This mismatch might come to a surprise, however, this also means further investigation needs to be done on other ski resorts. The code can be modified slightly by inputting new data into the argument they want to analyze using the same model so that other business analysts can use and explore.